VAT · THE CASH ACCOUNTING SCHEME

Pay the VAT after your customer has paid you.

You invoiced in August, got paid in November, the VAT went to HMRC in September. A scheme moves it to the day you are paid — but your reclaim waits until you pay your supplier.

HOW YOU JOIN

£1.35m

You must already be registered for VAT, and expect to sell £1.35 million or less, before VAT, over the next 12 months. That is what you sell, not what you keep.

> You start on the first day of a VAT period: if you file for October to December, you start on 1 January. Never earlier — earlier invoices stay on the normal rules.

WHO IT DOES NOT HELP

£0

On the domestic reverse charge, a construction subcontractor gains nothing: by law those sales are outside the scheme. Nothing to defer, and the reclaim on materials waits.

> HMRC says it may not help you either if you are usually paid as soon as you sell, if you reclaim more VAT than you pay, or if you supply services continuously.

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Not sure whether it would help you?

Message us and we will tell you what to look at in your own invoices to work it out.

0330 133 1886

General information. For your own situation, speak to an accountant.